Does Female Leadership Relate to Productivity-Wage Gaps in Colombia?

Applied Microeconomic Theory ECON 6301 Paper

Ingri Katherine Quevedo Rocha

ingriq@gwu.edu
George Washington University
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Introduction

This paper examines whether female leadership (measured as the share of female executives) attenuates the productivity-wage gap.

- Across the world, workers are paid substantially less than the value they produce. Eg: Colombia workers receive about 40% of their contribution to production.
- This occurs due to labor market frictions and imperfections, where firms have some degree of monopsony power over workers.
- Still, firms differ substantially in how aggressively they exploit it, and management choices shape wage-setting and competition.
- Literature suggests that female leaders place greater weight on worker welfare and are less likely to engage in anticompetitive behavior.

Results

$$\log(\text{Markdown}_{it}) = \alpha + \beta\,\text{FemaleLeadership}_{it} + \boldsymbol{\gamma}'\mathbf{X}_{it} + \alpha_t + \alpha_s + \alpha_r + \varepsilon_{it}$$

$\hat{\beta} \approx -0.001$: A 10 percentage-point increase in the share of female executives is associated with a 1% decrease in the markdown, holding all else constant. Economic magnitude: This corresponds to a decline in the median markdown from 1.680 to about 1.662, increasing the worker's share from \$59.5 to \$60.2 for every \$100 produced.

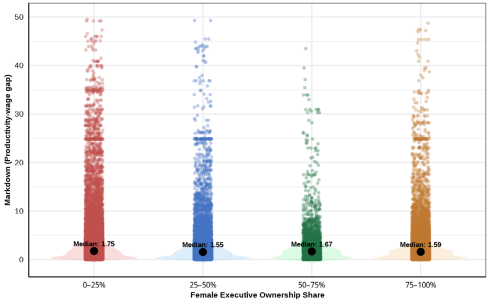

Figure: Markdown and Female Leadership

Source: Author's calculations based on the Colombian Manufacturing Survey (EAM), 2000–2019.